

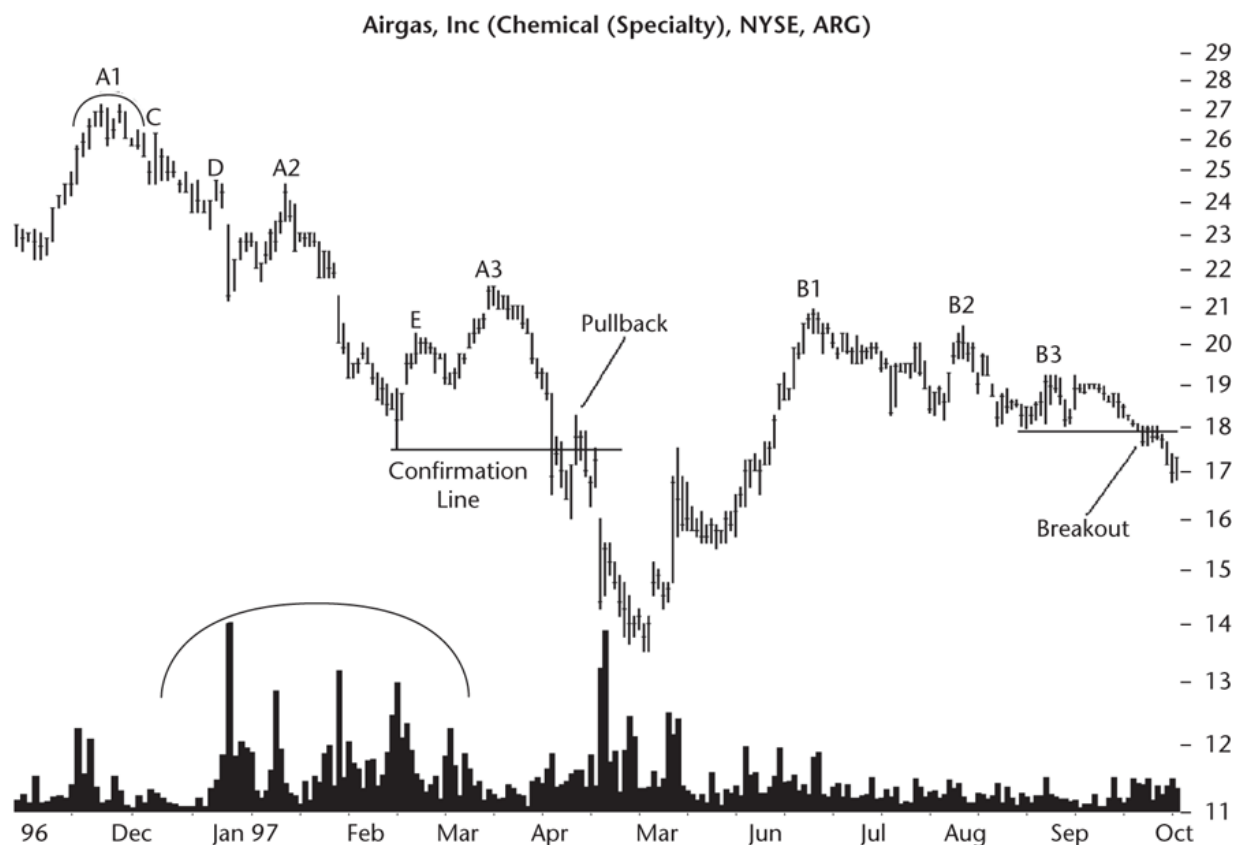


Figure 61.2 Peaks A1, A2, and A3 form three falling peaks, as do B1, B2, and B3. Peaks C and D are too small and narrow to be part of the A1–A3 pattern. Peak E is fine, but the higher A3 peak suggests that A3 is a better selection as the last peak in the series.

When selecting the three peaks, I ignored C and D and went with A1, A2, and A3.

Why not select peak E? This peak is robust enough to join the party, so you could call it the third peak. When A3 comes along, you might question the validity of the A1, A2, E pattern because A3 forms a higher high.

The way I looked at the pattern, I liked the idea that you could draw a trendline along the A1, A2, and A3 peaks (which isn't mandatory). Having E as the last peak seems out of place. Also, a higher peak (such as A3 when E was the third peak) before confirmation might invalidate the pattern.

However, I disallowed patterns when price closed above the highest high (A1), not a close above the lowest high (E). You might consider a close